

**Time:** 5 minutes**Outcome:** Use a budget constraint and preferences to identify the best affordable bundle.**Difficulty:**

●●○ Intermediate

Consumer Choice



THE CORE IDEA

Consumers choose the most preferred affordable bundle. The budget line shows combinations that exhaust income; indifference curves connect equally preferred bundles. The optimum lies on the highest attainable indifference curve. With smooth, convex preferences and an interior solution, that curve is tangent to the budget line; some preferences instead yield a corner solution.



HOW TO RECOGNIZE IT

- Inside or on the budget line is affordable; outside is unaffordable.
- Income changes shift the line in parallel; a one-price change pivots it.
- Choose the highest attainable indifference curve, allowing for a corner solution.

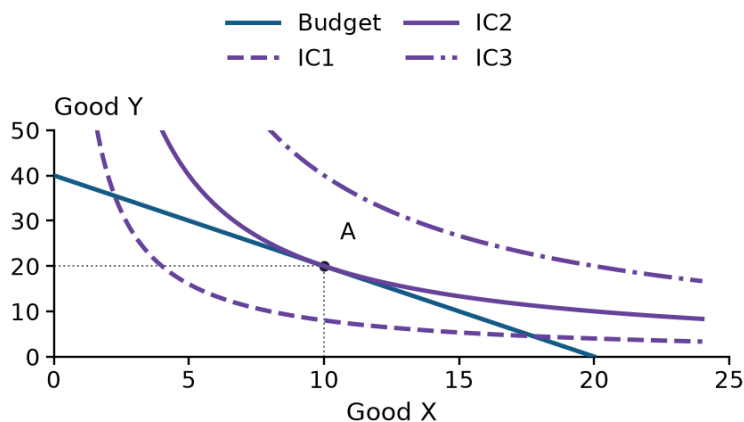


WATCH OUT

Tangency applies to a smooth interior optimum. A bundle on a higher curve is irrelevant if it is unaffordable; a corner optimum need not satisfy tangency.



WORKED EXAMPLE: BEST AFFORDABLE BUNDLE



The budget line reaches 20 units of X or 40 units of Y, so its slope is -2. Bundle A contains 10 units of X and 20 of Y. At A, the budget line is tangent to IC2, the highest attainable indifference curve. IC3 is preferred but lies outside the feasible set, while IC1 is attainable but provides a lower ranking.



CHECK YOURSELF

If only the price of Y falls, does the budget line shift in parallel or pivot?

**READY?**

Return to the game and master this concept.